CONFERENCE CALL NOTES: India update

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Conference Call Note
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India Update

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Short-term trajectory:
Long-term trajectory:

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Prime Minister Narendra Modi's government remains stable; however, it faces the twin challenges of youth disaffection and its electoral coalition fraying along caste lines.
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In the short term, Modi's most significant reforms will be liberalizing the nuclear power sector, introducing market-based electricity pricing, and redrawing constituencies to give the ruling Bharatiya Janata Party (BJP) an advantage in the 2029 general elections.
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India is pursuing closer ties with middle powers such as the EU and Japan, while waiting out the US trade investigations before signing a Free Trade Agreement (FTA) with Washington

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Speakers:

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Pramit Chaudhuri, Practice Head, South Asia

Modi's government remains comfortable

Modi's parliamentary majority and state-level dominance remain intact — about 78% of India's population is now governed by the BJP or its allies. The Modi government's term will run till 2029. However, Modi faces two challenges:

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The caste coalition that has underpinned the BJP's electoral dominance is starting to fray. Upper-caste voters are pushing back against perceived favoritism toward the more numerous Other Backward Castes. A recent by-election in Bihar saw upper-caste voters vote against the BJP, though not in favor of

the mainstream opposition.

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Youth disaffection fueled by high unemployment among college graduates. Recent student protests forced the resignation of the education minister, a rare loss of face for Modi. Although the protests are largely non-partisan, they are likely to hurt the BJP in the upcoming state elections in February and March next year. This will be especially true in Uttar Pradesh, India's most populous state, where 34% of the electorate is in the 18-30 age bracket.

Legislative priorities will focus on energy, education, and redistricting

In the recently concluded monsoon session of parliament, the government passed the Taxation and Other Laws Bill, which seeks to simplify India's complex tax system and attract foreign investment by making supply chain integration more tax-friendly. It also amended mining regulations yet again, this time to reduce the authority of state governments to charge arbitrary taxes. But despite India's rare earths and critical mineral reserves, political problems are likely to continue inhibiting foreign investment in the sector.

Over the next six to eight months, the government's legislative priorities will focus on:

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Nuclear energy: Draft rules under the SHANTI Act have been issued for public comment. The act seeks to meaningfully open the sector to private investment.

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Power sector reform: A bill to introduce market-based electricity pricing has been held back due to the Iran conflict-induced higher energy prices.

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Higher education: Politically sensitive given the student protests; the government will likely seek broader public consultation before tabling it in parliament.

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Delimitation: The BJP wants to pass a constitutional amendment to fast-track the implementation of women's quotas in parliament, initiate the redrawing of constituencies, and expand the lower house from 543 to about 850 seats based on population data from the 2011 census. The bill will benefit the BJP in the 2029 general elections by adding parliamentary seats to BJP-dominated states in northern India while reducing seats in opposition strongholds in southern India. The expansion of the lower house will also see more seats allocated to urban areas where the BJP performs well. Negotiations with regional parties are still ongoing to secure the necessary two-thirds parliamentary support.

US-India relations are stable even as the FTA is pending

The new US Ambassador to India, Sergio Gor, has helped stabilize ties through a package of energy, investment, and defense deals. India now buys about a third of its LNG and two-thirds of its LPG from the US and has ramped up oil imports from Venezuela.

The US-India FTA is almost complete; however, India is waiting for the US to conclude its trade investigations. In the meantime, New Delhi is content with the 10% baseline tariff rate. The Lindsey Graham bill proposing 100% tariffs on buyers of Russian oil is not seen as a major threat, given Western reliance on Indian diesel exports, which are derived from Russian oil imports.

India is deepening its partnership with the EU

The EU-India FTA is expected to be ratified by the EU by the end of the year or the beginning of 2027. Some European green parties believe India's getting too much leeway on carbon tariffs, but this isn't a deal breaker.

The trade agreement will help ease European restrictions on sharing technology: the EU-India Trade and Technology Council is expected to be revived. India has already been granted access to specific defense technologies and could see supply chain integration across a range of high-tech areas. India's arms purchases are also shifting towards Europe—it is set to buy German Type 214 submarines and more French Rafale fighter jets.

China is blocking supply chain shifts

India and China continue to normalize ties after their 2020 border clash, though the underlying rivalry persists. Recent incidents along the border ahead of the BRICS summit in September are interpreted by the Indian side as a pre-summit signaling ritual rather than a strategic shift.

The more consequential concern is economic: China is systematically blocking supply chain shifts to India in sectors such as electronics, EVs, and batteries. It has even prevented Chinese technicians from working in India and denied visas to Indian engineers seeking to travel to China.

Key Watch Items

1.
Uttar Pradesh election: Whether youth protest sentiment crystallizes into an anti-BJP vote or remains diffuse and nonpartisan.
2.
BJP caste coalition: Whether upper-caste defections spread beyond Bihar.
3.
Delimitation bill: Whether the BJP can secure a two-thirds majority in the winter session of parliament.
4.
Power sector reform bill: Whether global energy price stabilization gives the government enough political cover to introduce it in the winter session.
5.
EU-India FTA: Whether the December signing is achievable or slips to early 2027.
6.
Russian oil tariff (Lindsey Graham bill): Whether the US grants India a carve-out or requests a modest rebalancing toward Venezuelan crude.

What Clients Are Asking

Youth protest political impact: Clients wanted to know whether student unrest translates into electoral damage for the BJP. The speaker's view is that the protests are largely nonpartisan, making the direction of any vote shift uncertain. Nonetheless, as the incumbent party in most state elections next year, the BJP will be the most impacted given the anti-establishment mood evident among the protestors.

Rupee depreciation: Clients asked how politically sensitive the rupee's depreciation is. The speaker said the government strongly prefers not to let the currency fall to 100 rupees to a dollar for nationalist optics. However, the Reserve Bank of India (RBI) is internally comfortable with a weaker rupee—it helps India's exports and has little inflationary impact. Nonetheless, foreign exchange reserves have recovered to over $700 billion, and this gives the RBI ammunition to intervene in exchange markets to defend the rupee.

India-Bangladesh relations: Clients asked about the trajectory following the change in government in Dhaka. The speaker described what seems to be quiet negotiations in which India is seeking assurances that former Prime Minister Sheikh Hasina, who has said she wishes to return to Bangladesh, will be tried but not executed. Overall, the speaker assessed the relationship as stable, with intelligence-level contacts resuming and economic reintegration beginning. However, rhetorical and symbolic criticisms by Dhaka should be expected.

Saudi Arabia–Pakistan–Turkey defense pact: Clients asked whether the agreement poses a threat to India. The speaker was dismissive: the three members have divergent threat perceptions and no binding mutual defense obligation. Saudi Arabia has reportedly told India that it will not get involved in any India-Pakistan conflict.

India-Japan Economic Security Initiative: Clients asked about its significance. The speaker described the initiative as substantive: since it was signed last August, cooperation has expanded from 4 to 12+ supply chains. The Japanese government is actively mapping gaps in Indian supply chains—for instance, in solar modules and semiconductors—and subsidizing Japanese companies to fill them. Defense cooperation remains limited by Japanese export restrictions, but commercial and technology cooperation is accelerating.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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